

**Time:** 5 minutes**Outcome:** Calculate and interpret accounting profit, economic profit, implicit costs, and normal profit.**Difficulty:** ●●○ Intermediate

Accounting, Economic & Normal Profit



THE CORE IDEA

Accounting profit subtracts explicit costs from revenue, while economic profit also subtracts implicit opportunity costs. Normal profit is the return required to keep owner-supplied resources in their current use, so it is included among implicit costs. Zero economic profit therefore means the firm covers every explicit and implicit cost, not that the owner receives nothing.



HOW TO RECOGNIZE IT

- Start with total revenue and identify both explicit and implicit costs.
- Accounting profit subtracts explicit costs only; economic profit subtracts both kinds of cost.
- Normal profit is the owner's opportunity cost and is included among implicit costs.
- Zero economic profit can coexist with positive accounting profit.



WATCH OUT

Do not treat zero economic profit as failure. Zero economic profit includes normal compensation for owner resources. The \$85,000 accounting profit exactly covers the \$85,000 of implicit opportunity costs.



WORKED EXAMPLE: ACCOUNTING VERSUS ECONOMIC PROFIT

A firm earns \$200,000 of revenue and pays \$115,000 of explicit costs, so accounting profit is \$85,000. If the owner's forgone salary, interest, and rent also total \$85,000, economic profit is $\$85,000 - \$85,000 = \$0$. The firm still earns normal profit because its resources receive their opportunity-cost return.



CHECK YOURSELF

A firm earns zero economic profit. What has it covered?

**READY?**

Return to the game and master this concept.